

Liquidity Trap Execution Flowchart

Phase 1: Liquidity Mapping

1. Identify equal highs & equal lows on session chart.
 2. Mark prior day/session highs & lows.
 3. Map VWAP bands & key institutional levels.
 4. Note any recent compression zones or range builds.
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Phase 2: Liquidity Sweep Trigger

For Short Setup:

- Sweep equal highs or prior session high.
- Candle wick pierces above prior liquidity zone.
- Volume spike or aggressive candle expansion.

For Long Setup:

- Sweep equal lows or prior session low.
 - Candle wick pierces below prior liquidity zone.
 - Volume spike or aggressive candle expansion.
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Phase 3: Post-Sweep Confirmation

1. Rejection wick forms after sweep (large wick, small body).
 2. 9 EMA starts to flatten or curl opposite sweep direction.
 3. VWAP reclaim attempt initiates.
 4. Aggressive failure to hold breakout/breakdown levels.
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Phase 4: Entry Zone

- Enter on first small pullback post-confirmation wick.
 - Stop loss placed slightly beyond sweep extension.
 - Position sizing adjusted for controlled risk.
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Phase 5: Target Ladder

Target Level	Description
Target 1	VWAP retest
Target 2	Opposite internal liquidity pocket
Target 3	Full liquidity unwind zone

Phase 6: Invalidation

- Exit immediately if sweep zone breaks again & holds.
- Watch for failed rejection wick reversal.
- No stacking entries unless confirmation persists.

Key Execution Rule:

No sweep = No trade.

No confirmation = No entry.

Liquidity fuels the trade — structure confirms it.